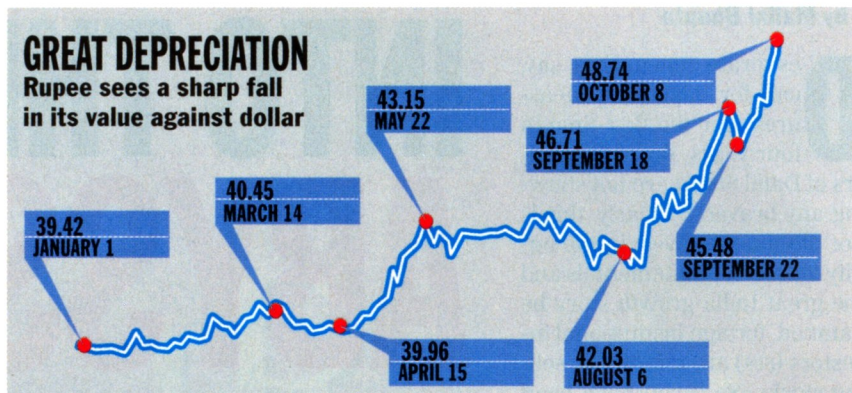


out \$13.5 billion by December."

Adding fuel to the FII pressure are India's domestic constraints. High interest rates and inflation have already taken the wind out of most companies. Fundamentally, if interest rates are high then liquidity obviously gets sucked out of the system and cost of funds increases. This has a direct impact on earnings of companies as cost of doing business goes up significantly. According to Religare Hichens Harrison, the profit margins of 145 companies are under significant pressure. Says Chakraborty: "We predict this year earnings per share of the Sensex will be Rs 930, indicating a growth of 10 per cent."

Even though the Reserve Bank of India cut the cash reserve ratio by 50 basis points on October 6, in order to release about \$4.5 billion (Rs 20,000 crore) of liquidity into the system, it will only help in easing some of the liquidity pressures. However, this will not impact the lending rates as such nor will it divert liquidity to capital markets. Given that almost 50 per cent of the free-float is owned by the FIIs, the carnage in the equity markets will not stop with such measures. For instance, while FIIs have sold \$10 billion in calendar 2008, domestic institutions have bought only up to \$2.5 billion, which is clearly not enough to support the indices. Says Anup Bagchi, executive director of ICICI Securities: "Nobody is



Figures denote rupee exchange value against dollar in 2008. Source: RBI website

"We are not advocating equity investments for now as the downside is still there."

AMITABH CHAKRABORTY,
PRESIDENT-EQUITY, RELIGARE SECURITIES



"We are nearing the bottom but in terms of time, a recovery is a long way off."

RAKESH JHUNJHUNWALA,
PROPRIETARY INVESTOR & PARTNER, RARE ENTERPRISES

entering the equity markets so there is nobody to support the market."

So what can the average investor do? Stay put, say most pundits. Given that most investors have already lost almost 50 per cent of their money since January, Dharendra Kumar of Value Research believes the crisis has already taken its toll. He says: "The biggest issue at this point of time is in sustaining faith. The current situation will prevail if not accelerate." If your horizon is a couple of years, then it's best to stay away from the markets. With the market still 10-15 per cent away from the bottom, it's best for investors to stay away from the equity markets at this point of time and preserve their capital.

Considering that equity has fallen by 50 per cent in 10 months, this is the time to look at fixed deposits, gold exchange traded funds and gilt funds. With nobody able to predict the depth of the crisis, bottom fishing is a strict no-no. Says S.A. Narayan, CEO of Kotak Securities: "If you already have investments then stay put but if you want to invest in small quantities via a system-

atic plan, then the returns will be good but over a long period of time."

However, even in every threat, there is an opportunity. Once the global frenzy settles down, the India story can very well turn around as commodity prices are cooling and interest rates have definitely peaked.

So what's in store for India Inc? Interest rates will start climbing down from the first quarter of 2010 and inflation definitely looks like it's on the way down. The sharp fall in global crude oil prices and commodities is a positive for the Indian economy. Explains Sukumar Rajah, chief investment officer (equity) of Franklin Templeton Investments, India: "However, from a fundamental perspective, countries like India with strong economic fundamentals and relatively lower dependence on exports remain attractive from a medium to long-term perspective. While economic growth is expected to moderate, India is likely to be among the fastest growing economies in the world." So expect cheap loans and oil in the year to come, along with cheap stocks.

BEAR FACTS

FIIs have sold their stocks worth \$10 billion in the year 2008

Month	Sale/Purchase
January	-\$3.23 bn
February	+\$462 mn
March	-\$32 mn
April	+\$266 mn
May	-\$268 mn
June	-\$2.5 bn
July	-\$455 mn
August	-\$300 mn
September	-\$2 bn
October	-\$537 mn

Figures in negative denote sale and in positive represent purchase. Source: SEBI